INDEPENDENT AUDITOR'S REPORT

To the Members of XYZ Industries Limited

Report on the Audit of the Financial Statements

Qualified Opinion: In our opinion and to the best of our information and according to the explanations given to us, except for the effects of the matter described in the *Basis for Qualified Opinion* section of our report, the aforesaid financial statements give a true and fair view in conformity with Ind AS and the accounting principles generally accepted in India.

Basis for Qualified Opinion:

We draw attention to Note 7 of the financial statements regarding physical verification of inventories at the company's manufacturing facility at Raigad. Management has not carried out physical verification of raw materials and work-in-progress amounting to ■480.00 Lakhs as at 31st March 2024. Consequently, we were unable to determine whether any adjustments were necessary in respect of the inventory carrying values and the related cost of materials consumed for the year.

Emphasis of Matter:

We draw attention to Note 28 to the financial statements, which describes the uncertainty relating to the outcome of pending litigation with the Goods and Services Tax (GST) department demanding differential tax and penalty of ■650.00 Lakhs. The Company has contested this demand before the Appellate Tribunal and no provision has been recognized in the financial statements. Our opinion is not modified in respect of this matter.

ANNEXURE 'A' TO THE INDEPENDENT AUDITOR'S REPORT

Report on Companies (Auditor's Report) Order, 2020 (CARO 2020)

Clause 3(i)(c) - Title Deeds: According to the information and explanations given to us, the title deeds of all immovable properties disclosed in the financial statements are held in the name of the Company, except for one freehold land situated at Ambernath having carrying value of ■120.00 Lakhs where title deeds are in the name of erstwhile promoter.

Clause 3(ii)(b) - Quarterly Statements: The Company has been sanctioned working capital limits in excess of ■5 Crores (sanctioned limit ■2,500 Lakhs) from consortium of banks on the basis of security of current assets. **The quarterly statements of book debts and stock filed by the Company with banks show material discrepancies when compared with the books of accounts for the quarters ended September 2023 and December 2023, and the same have not been reconciled in the financial statements.**

Clause 3(ix)(a) - Default in Repayment: The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

XYZ INDUSTRIES LIMITED — BALANCE SHEET AS AT 31ST MARCH 2024

Total Assets: ■18,400.00 Lakhs | Total Equity and Liabilities: ■18,400.00 Lakhs
Revenue from Operations: ■24,500.00 Lakhs | Profit after Tax: ■1,240.00 Lakhs

Note 14: Borrowings
Term Loans from Banks: ■4,800.00 Lakhs. (Repayment terms and rate of interest not specified).

Note 24: Related Party Transactions
The Company has issued corporate guarantee of ■1,500.00 Lakhs to State Bank of India for credit facilities availed by its wholly owned subsidiary ABC Ltd. The guarantee is given without commission and is not measured at fair value.

Note 28: Contingent Liabilities
Disputed GST demand: ■650.00 Lakhs. (Qualitative description regarding timing of cash outflows and possibility of reimbursement omitted).